UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF ARKANSAS
CENTRAL DIVISION

IN RE: BRUCE WATKINS, II HEIDA FARQUE WATKINS Debtors. MARGIE GENIECE FRANKS; BENNY REX HARPER AND MARTHA RUTH HARPER, TRUSTEES OF THE BENNY AND MARTHA HARPER TRUST NUMBER ONE; ESTATE OF WILLIAM (DUB) HENRY HARPER; KATHLYNNE PLUEGHOFT; SUE ANN BLEDSO; STEVEN LEE BUCKLEY; LISA DICKEY; and JOHN MICHAEL BURNETT PLAINTIFFS v. BRUCE WATKINS, II AND HEIDA FARQUE WATKINS DEFENDANTS	Case No. 4:25-bk-10241 Chapter 7 Adv. Proc. No.

Complaint to Determine Dischargeability of Debt Pursuant to 11 U.S.C. § 523(a)(6)

The Plaintiffs, by and through their attorneys Lax, Vaughan, Fortson, Rowe, & Threet, P.A., for their complaint to determine dischargeability of debt pursuant to 11 U.S.C. § 523(a)(6) combined with objection to discharge pursuant to 11 U.S.C. § 727(a)(6)(A), states as follows:

I. Jurisdiction

1. The Court has jurisdiction over the subject matter and parties to this action pursuant to 28 U.S.C. § 1334 and 28 U.S.C. § 157. This is a core proceeding pursuant to 28 U.S.C. § 157(b)(2)(I). The Court has the power and authority to enter a final order in this proceeding.

II. The Parties

2. Plaintiffs are creditors in the lead bankruptcy case.

3. Defendants, Bruce Watkins and Heida Watkins (the "Debtors"), are each an individual and resident of Van Buren County, Arkansas, and are the debtors in the lead bankruptcy proceeding.

III. Facts

A. Background Pre-Bankruptcy

4. The Plaintiffs are the owners of real property located in Van Buren County, Arkansas (the "Harper Land"). In February 2022, the Debtors purchased other real property in Van Buren County, Arkansas (the "Watkins Land") that was to a degree, adjacent to and contiguous with the Harper Land. The Harper Land was not encumbered by a deeded easement, prescriptive easement, or any legal means of ingress and egress for the benefit of the Debtors.

5. Debtors constructed a road on the Harper Land without legal authority or permission, by placing over 100,000 pounds of gravel, cut trees, and disturbing the natural state of the property. The Debtors didn't even attempt to seek permission before building the road.

6. The Plaintiffs intended for their property to remain in its natural state, but the Debtors' actions altered its physical features. The actions of the Debtors modified the Harper Land from a rural secluded deer hunting property to one that may be easily accessed.

7. Debtors unlawfully trespassed on the Harper Land, cut the Plaintiffs' chains off of Plaintiffs' gate, removed Plaintiff's locks, left Plaintiffs gate open to the public, built a road. At one point, the Debtors even locked the Plaintiffs out of their own property.

8. The Debtors showed hostility in their actions to the Plaintiffs.

9. The Debtors caused the Plaintiffs to be intimidated and caused Plaintiffs to have to check on their property and make sure their property is not being further vandalized or opened to the public.

10. The Plaintiffs attempted to stop the Debtors from trespassing on the Harper Land. The Plaintiffs asked the Debtors to cease and desist by sending them informal notice as well as formal notice; Plaintiffs placed a locked gate on the road; and Plaintiffs sought assistance from Van Buren County

Sheriff's Department. The Debtors ignored the Plaintiffs' requests and did exactly what the Debtors wanted regarding access to the Harper Land.

11. The Plaintiffs had to resort to litigation by filing on July 21, 2022, a civil case against the Debtors in the Circuit Court of Van Buren County, Arkansas (the "State Court") as Case No. 71CV-22-116 (the "State Court Litigation"), seeking in the complaint a preliminary injunction, a permanent injunction, damages for trespass, and a declaratory judgment as to the Harper Land. The Debtors appeared in the State Court Litigation through counsel, and the State Court Litigation was actually litigated.

12. On November 17, 2022, the Circuit Court of Van Buren County issued a preliminary injunction against the Debtors from entering the Harper Land.

13. Shortly thereafter, and as evidence of the Debtors' malice, the Debtors then decided to take similar actions with a neighboring property owned by one Peggy Nuckles, cutting her fence, and building a new road across her property, without right.

14. Ms. Nuckles intervened in the State Court Litigation, filing her own petition seeking a preliminary injunction against the Debtors.

15. The State Court Litigation came on for trial on August 12, 2024, but was continued to September 23, 2024 due to Mr. Watkins suffering a health episode.

16. The trial was held on September 23, 2024, where the parties appeared, and tried the matter, resulting in a ruling in favor of the Plaintiffs against the Defendants.

17. On October 7, 2024, the State Court entered an Order for Permanent Injunction, Declaratory Judgment, and Damages (the "Initial Judgment") in the State Court Litigation, thereby making findings of fact, issuing an injunction, and awarding damages to the Plaintiffs. The Initial Judgment left open the issue of treble damages for the Plaintiffs. A copy of the Initial Judgment is attached hereto as Exhibit A, and incorporated herein by reference.

18. On December 24, 2024, the State Court entered a Final Order for Permanent Injunction, Declaratory Judgment, and Damages (the "Final Judgment") in the State Court Litigation, reiterating the findings and award in the Initial Judgment, but also awarding treble damages to the Plaintiffs

pursuant to A.C.A. §18-60-102, such judgment being in the face amount of $41,382.78. A copy of the Initial Judgment is attached hereto as Exhibit B, and incorporated herein by reference.

19. The Final Judgment is final and non-appealable.

IV. Complaint to Determine Dischargeability of Debt Pursuant to Section 523(a)(6)

20. 11 U.S.C. § 523(a)(6) provides that a debt is not discharged if the debt is "for willful and malicious injury by the debtor to another entity or to the property of another entity." 11 U.S.C. § 523(a)(6). The Debtors are not entitled to discharge the claims of the Plaintiffs pursuant to 11 U.S.C. § 523(a)(6) due to the willful and malicious injury by the Debtors to the Harpers.

21. The term 'willful' requires a deliberate or intentional injury, not merely a deliberate or intentional act that leads to injury. Kawaauhau v. Geiger, 523 U.S. 57, 59 (1998). To satisfy this element, it must be established that "the debtor intended the injury or that the injury was relatively certain to result from the act." In re Richmond, 430 B.R. 846, 867 (Bankr. E.D. Ark. 2010).

22. Upon information and belief, the Debtors' conduct was willful by constructing a road on and damaging the Plaintiffs' property without legal authority or permission. Despite repeated informal and formal demands that they cease and desist, including after the Plaintiffs installed locks on their gates to prevent further access, the Debtors knowingly cut off the locks and continued construction. The Debtors' conduct was deliberate and undertaken with knowledge that injury to the Plaintiffs' property rights was substantially certain to occur.

23. Conduct is "malicious" when it is directed at the creditor and is certain or nearly certain to result in financial harm. In re Madsen, 195 F.3d 988, 989 (8th Cir. 1999). Malice may be established by showing that, with knowledge of the creditor's rights, the debtor intentionally acted in violation of those rights. Eldridge v. Waugh, 198 B.R. 545, 548 (E.D. Ark. 1995), aff'd sub nom. In re Waugh, 95 F.3d 706 (8th Cir. 1996).

24. Upon information and belief, the Debtors' conduct was malicious in that the Debtors acted maliciously by knowingly violating the Plaintiff's property rights. The Debtors disturbed the natural state of the Plaintiffs' property, which the Harpers intended to preserve in its natural state, and constructed a road that rendered its previously secluded hunting land easily accessible.

25. The Debtors further acted maliciously by physically excluding the Plaintiffs from their own property. After the Plaintiffs installed a lock on their gate to prevent the Debtors' unauthorized access, the Debtors knowingly cut off the Plaintiffs' lock and replaced it with their own, effectively locking the Harpers out of their property. This conduct was intentional, wrongful, and undertaken with knowledge that it was substantially certain to cause harm to the Plaintiffs' and their property interest.

26. Additionally, the Plaintiffs were awarded treble damages in the case against the debtors for this trespass. Under Ark. Code Ann. § 18-60-102(a) treble damages require a showing of intentional wrongdoing, which may be inferred from knowing or reckless conduct. Auger Timber Co., Inc. v. Jiles, 56 S.W.3d 386, 389 (Ark. App. 2001).

27. The Debtors should be denied a discharge as to the claims of the Plaintiffs awarded, and to be awarded, in the State Court Litigation, including in Initial Judgment and the Final Judgment, pursuant to 11 U.S.C. § 523(a)(6). Such claims of the plaintiffs should be determined to be nondischargeable and excepted from any discharge of the Debtors.

28. The Debtors' have engaged in actions in the bankruptcy case that have caused unnecessary confusion and unreasonably delay, causing the Plaintiffs to incur attorneys' fees and costs. Such actions include the filing of false schedules and statements and refusal to timely comply with orders of the Court. Such actions were intentionally vexatious and dilatory.

29. The Plaintiffs should be entitled to an additional judgment for their attorneys' fees and costs incurred in this Adversary Proceeding and in the lead bankruptcy case. Such award should be determined to be non-dischargeable under 11 U.S.C. § 523(a)(6).

V. Prayer for Relief

WHEREFORE, for the reasons stated above, the Plaintiffs Margie Geniece Franks; Benny Rex Harper and Martha Ruth Harper, Trustees of the Benny and Martha Harper Trust Number One; Estate of William (DUB) Henry Harper; Kathlynne Plueghoft; Sue Ann Bledso; Steven Lee Buckley; Lisa Dickey; and John Michael Burnett pray that their claims against the Debtors, including the claims awarded, and to be awarded, to Plaintiffs in the State Court Litigation, including the Initial Judgment and the Final Judgment, be declared nondischargeable pursuant to 11 U.S.C. § 523(a)(6); that the claims of the

Plaintiffs be excepted from any discharge of the Debtors; that the Plaintiffs be awarded their attorneys fees and costs incurred in this Adversary Proceeding and in the lead bankruptcy case, and that the same be determined to be non-dischargeable pursuant to 11 U.S.C. § 523(a)(6); and for all other just and proper relief to which they may be entitled.

Respectfully submitted,

s/ Branch T. Fields
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